

Julius Bär

NEXT GENERATION



Marketing material

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Next Generation: Trends shaping the future

Next Generation is our vision of the future – a future that is shaped by megatrends. These trends affect every aspect of our lives. They cause structural changes in our society, influencing consumers and companies alike. We are identifying these megatrends and translating them into tangible investment themes today.

- We have built up extensive experience in thematic investing during the past decade. We single out structural growth stories and see through the hype that comes with some of these themes, offering investment solutions with a clear focus on thematic purity.
- We publish tangible and thought-leading thematic research. In our reports, we take a long-term view on how structural change is impacting our future, and we align this view with short-term developments happening around us.
- We provide exclusive platforms to our clients and foster interaction with external experts, allowing us to exchange views about our vision of the future and to experience what this future could look like.



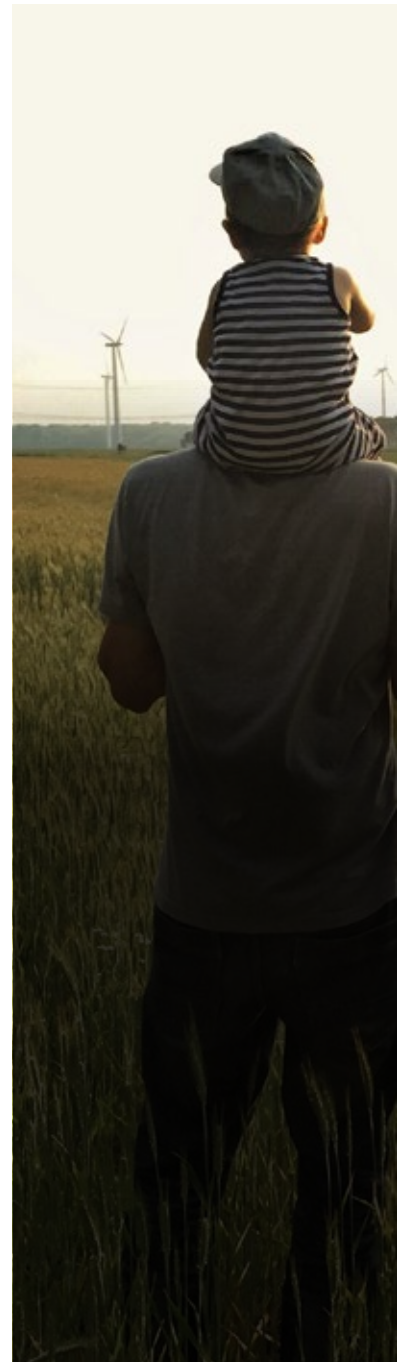


The Next Generation investment philosophy

While we do not know what tomorrow's world will look like, we can be sure it will be different from today. The world around us is constantly changing, and, as humans, we often underestimate the power of change. We live in the world as we know it, and we struggle to comprehend the complexity of the trends that are developing around us. Some of these trends start small and do not seem meaningful at first sight, but

eventually they become so powerful that they are neither stoppable nor reversible once we recognise them. These so-called megatrends are often interconnected, which makes them even more powerful. With our Next Generation investment philosophy, we want to understand the long-lasting and structural shifts caused by these megatrends and assess the implications they have on our economy and our society.

Note: Please contact your Julius Baer relationship manager to learn about our Next Generation investment solutions and which ones would be most suitable for you.



A photograph of a field with several wind turbines in the background under a warm, golden sunset sky. The foreground is a field of tall grass, and the background shows a line of trees and more turbines on the horizon.

A focus on structural growth

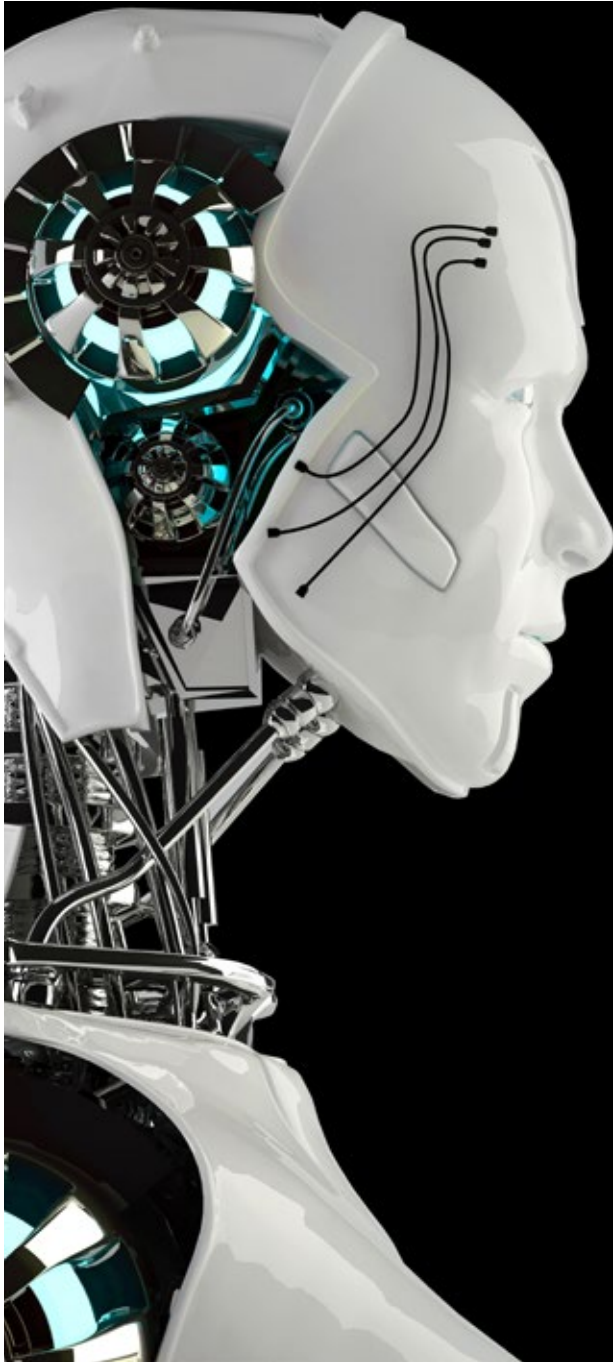
The Next Generation investment philosophy is a thematic investing approach with a focus on long-term structural growth. Structural growth stretches beyond the business cycle, both in terms of its dynamics and its duration. We strive to seek out investment opportunities that aim to deliver superior investment returns by identifying industries undergoing long-term transformations, thus allowing us to harness the power of the megatrends as represented in our investment themes.

Separating leaders from laggards

Within the identified industries, we pay particular attention to companies that have a significant competitive advantage and can deliver long-term growth. The key factors we analyse are a company's positioning within the industry, its corporate culture, and its financial flexibility. As a result of our analysis, we separate the high-scoring leaders from the low-scoring laggards. The leaders should be core holdings in a thematic investment portfolio, while the laggards should be avoided, since they run the risk of underperforming on a longer-term horizon.

Thematic investing is tactical investing

Despite the long-term nature of the Next Generation investment philosophy, it is exposed to short-term swings in sentiment on financial markets. Slow-paced structural shifts are often overshadowed by the markets' restless temperament and short-term focus. Thematic investing is tactical investing. We mitigate the related risks through diversification across themes and within industries, as well as through stock selection – focusing on the leaders and avoiding the laggards.



Digital Disruption

The world is becoming ever more digital as the number of interconnected devices is growing rapidly, allowing us to collect and consume vast amounts of information and services. As the cost of advanced technologies continues to fall, new applications will be launched, offering opportunities to combine these technologies in novel ways and accelerating the pace and the scope of innovation. While consumers will continue to benefit from the rise in technology, only the strong innovators will win. The digital age of the twenty-first century has already changed our lives fundamentally, and it is set to continue doing so in the years to come.

Cloud Computing & Artificial Intelligence

Cloud computing and artificial intelligence (AI) represent pivotal forces that are reshaping how we interact with the digital world. The cloud allows firms to rent leading-edge infrastructure at a fraction of the cost of developing it themselves. Harnessing the power of the cloud, AI-based solutions are applied to Big Data, enabling businesses to optimise operations, drive innovation, and unlock new revenue streams.

Automation & Robotics

Digitalisation and automation are imperative in a multipolar world where manufacturing activities are reshored in the name of supply-chain resilience. Manufacturing floors are filling up with smaller, smarter, more mobile robots that work alongside humans. Manufacturing activities are digitally controlled and optimised to reduce costs and boost productivity.

Cybersecurity

In a digital world where data becomes more valuable and our devices more interconnected, there is a greater need for cybersecurity products to protect us against ever-evolving cyberthreats. Cybersecurity will grow further in importance as the cost of cyberattacks, which expose companies to reputational damage among others, continues to increase and attract regulatory scrutiny.

Digital Commerce

Commerce is structurally shifting to the digital space as the online shopping experience becomes frictionless and consumers are ever more comfortable with the processes. This shift is enabled by enhancements in infrastructure, from logistics to payments, and by the use of new approaches and technologies to attract and retain customers.

Digital Content

The consumption of music, videos, and video games is ever more location-agnostic as on-demand viewing becomes increasingly popular. Only firms that adopt new formats and distribution channels will thrive; simply relying on an established business model is not enough.

Future of Finance

An evolving landscape in the financial industry reflects consumers' changing preferences regarding payments, lending, and investments. Instant-settlement digital payments are becoming the norm. Blockchain and AI applications are presenting incumbent financial firms with the opportunity to increase efficiency, innovate, and streamline operational capacities.

Energy Transition

The energy business is experiencing tectonic shifts as various structural trends are rattling its foundation. The innovation cycle is in top gear, spawning new technologies and creating new mass markets. The multipolar world order is nourishing calls for self-sufficiency to reduce economic dependencies, and mindfulness about sustainability is bringing the search for a solution to today's environmental issues into focus. Both

trends are paving the way for government interventions. Long-standing business models are becoming outdated, and new ones are emerging as individual consumption patterns are changing. The Energy Transition theme explores the potential pathways and pitfalls on the road to a more democratised energy future, which favours technology over resources, rests on self-reliance rather than trade, and empowers small actors.



Clean Energy

A niche business until the last decade, solar and wind have become the cost-competitive technologies of choice thanks to technological progress and manufacturing at scale. With still some way to go on the learning curve, the rise of clean energy likely heralds an era of ample, low-cost energy, with digitalisation enabling a reliable and overall economical electricity system. Given the recent developments, this growth story could mature sooner than previously thought.

Future Mobility

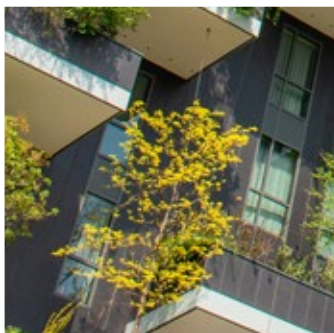
Electric cars have become a mass market, and given the visible, fast-paced progress in this technology, road transport is about to electrify swiftly this decade. Resource constraints are hardly a lasting challenge, as today's fossil-fuelled

mobility is much more resource-intensive than the electricity-charged future. Moreover, autonomous driving promises to revolutionise mobility in the next decade. The future of mobility is likely to have meaningful impacts: peak oil demand, less pollution, less traffic congestion, more productivity, more urban space, and better social cohesion.

Clean Fuels

While the energy transition focuses a lot on electrons, parts of our world will continue to run on molecules. Despite the recent hype about hydrogen and other clean fuels, there is a great degree of uncertainty about the pathways that markets and businesses will take. Given the early stage of this subtheme, investors face more risks and fewer options for investment.





Future Cities

The power and prosperity of cities defines the modern world economy. Today, more than half of the world's population lives in cities, which account for more than 80% of global economic output. By the middle of the century, the share of people living in cities will reach 70%, resulting in a unique mix of opportunities and challenges – economic, environmental, and social. The secret behind the success of cities is their proximity and productivity. Future cities promise to be smarter, more sustainable, and also more liveable.

Infrastructure

Cities have to function properly in order to be economically successful. Their infrastructure needs to work, as well as be reliable and in sufficiently good shape. Sizeable investments in infrastructure are required over the coming years to make our cities fit for the future. These investments target both traditional infrastructure, such as roads and railways, as well as digital infrastructure, which is paving the way for smarter cities. The expansion of digital infrastructure and the integration of technology has the potential to transform our cities.

Buildings

Real estate is the world's biggest store of wealth. Preserving this wealth is a challenge, not only due to structural trends, such as the rise of online shopping and the shift to work-from-home, but also due to an ageing global building stock. Real estate markets differentiate between higher-quality and lower-quality properties in terms of location and a building's sustainability credentials. Lower-quality properties are offered at steep discounts, which shows that investments in building efficiency and technology are about both economics and the environment.

Circular Economy

How realistic is the idea of making a city sustainable? Cities have huge resource requirements, driving the demand for energy and water, the emission of greenhouse gases, and the production of waste. Making a city more sustainable means increasing its resource efficiency and reducing its environmental footprint. The circular economy plays an important role in this regard, with 'reduce, reuse, recycle' as the main mantra. This requires sizeable investments in the expansion of waste management infrastructure – even more so in the developing world.

Feeding the World

In order to feed the world post-2050, farm production will practically have to double. With urbanisation increasingly encroaching on farmland and competing for water, sustainable production will require solutions to natural resource constraints and the adverse impacts of climate change, whilst ensuring the availability and affordability of food. Irrigation has been a key element in advancing and ensuring agricultural productivity and now accounts for 70% of the total use of water. In the last century, global water use has grown at double the rate of population growth.

Agricultural Technology

While providing food security for the world's population, the agricultural industry and its established practices are coming more and more under scrutiny. Industrial agriculture is often associated with the contamination and depletion of groundwater and is blamed for a loss of biodiversity. At the same time, the industry finds itself threatened by rising weather risks, such as torrential rains or scorching droughts. Precision agriculture holds the promise of putting the agricultural industry on more sustainable ground. It is heavily reliant on data-driven solutions to control

the application of herbicides and pesticides, to steer farm machinery, and to support the management of the whole farm. The goal of precision agriculture is to produce more food with less input.

Food Technology

The consumption of low-preparation, energy-rich processed foods is replacing the intake of basic staples as economies develop. This trend is driving the demand for ingredients such as vegetable oils, sugars, and meat. As a result, around 70% of the future growth in food consumption is set to occur in emerging economies. Meanwhile, in the Western world, an increasing awareness about health and environmental factors is altering food consumption. The shift from animal proteins, such as meat and dairy, to alternative proteins will provide the most meaningful change from an environmental point of view. Although alternative proteins are already part of a balanced diet today, eating habits will take a long time to shift given that they are deeply rooted in their respective cultures.



Future Health

The world is on the verge of a historical demographic transition. For the first time in human history, the number of people aged 60 and over will exceed that of children under the age of 10 by 2030. This remarkable transformation is primarily caused by falling fertility and mortality rates all over the world, the tremendous progress achieved in medical science and technology, and the ushering in of industrial development, all of which have empowered individuals and their lifestyle. However, do we truly know what the implications will be on our society and economy of a progressively larger population of older people? Our Future Health theme seeks to identify the challenges and opportunities associated with this momentous demographic shift.

Extended Longevity

Extended longevity is one of the most powerful demographic trends shaping our future. Evidently, an ageing population tends to face a greater burden of chronic diseases and other age-related health conditions and thus requires more medical care, including that provided through medical technology (MedTech) devices. However, longevity involves more than just spending on medical needs. Major changes in

spending patterns have emerged in other sectors as well, primarily in the developed world where the financial flexibility of the elderly has grown. Businesses that position for the silver economy and adapt to the needs of the elderly should see sustainable growth in the years to come.

Digital Health

An ageing population and a higher incidence of chronic diseases are driving up medical costs around the world at an increasingly unsustainable rate, alarming various healthcare stakeholders such as payers, providers, and producers. In order to keep costs down and provide high-quality care for patients, adopting digital technologies could help to support the shift in focus from volume-based to value-based care in the decades to come. Healthcare will no longer be limited to the confines of the doctor's office thanks to technology.

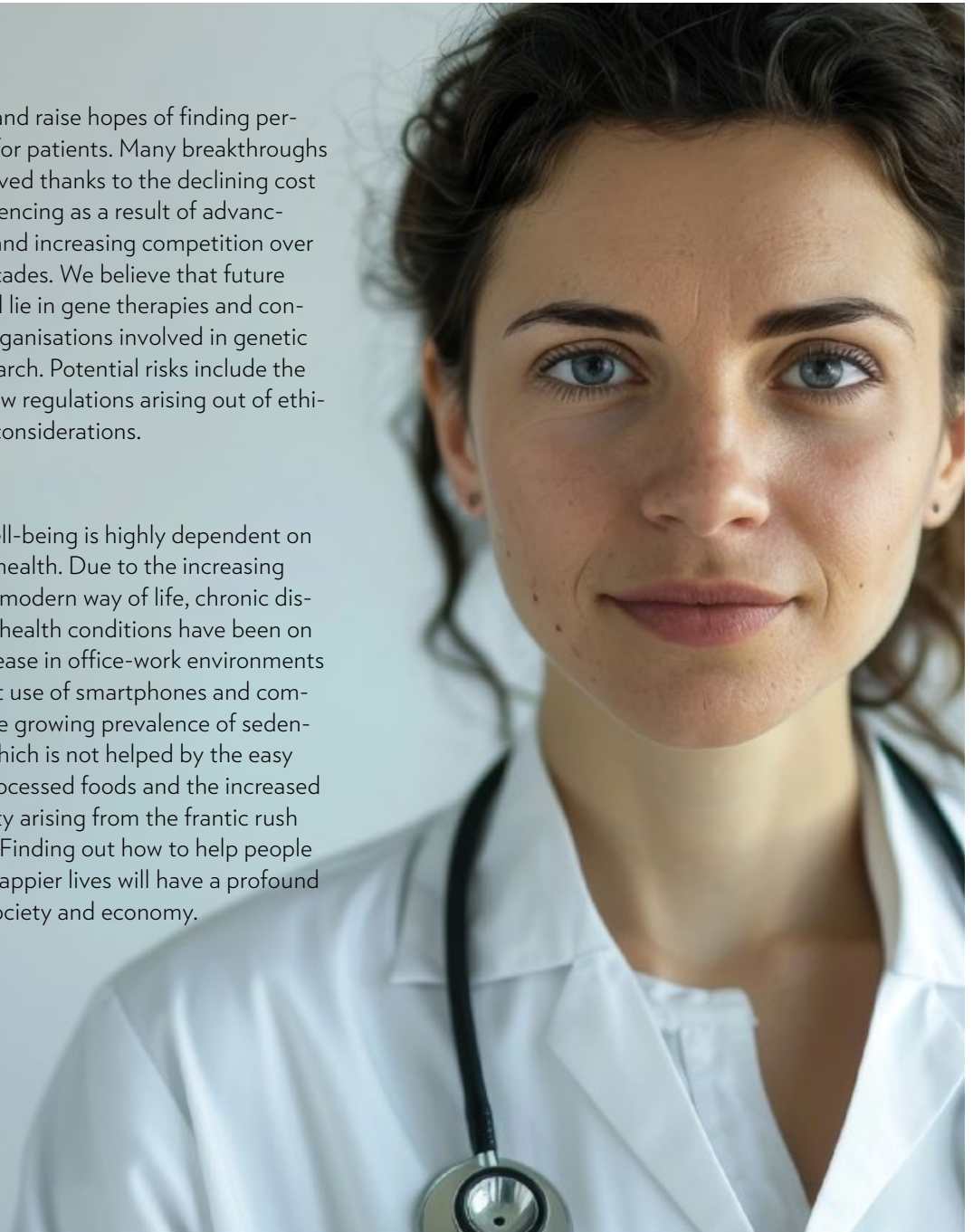
Genomics

There are around 6,000 known untreatable diseases in the world today. Medical breakthroughs in the field of genomics could help solve the mysteries of some of these health conditions at the

molecular level and raise hopes of finding personalised cures for patients. Many breakthroughs have been achieved thanks to the declining cost of genome sequencing as a result of advancing technology and increasing competition over the past two decades. We believe that future growth areas will lie in gene therapies and contract research organisations involved in genetic testing and research. Potential risks include the enactment of new regulations arising out of ethical and privacy considerations.

Healthy Living

Our personal well-being is highly dependent on the state of our health. Due to the increasing demands of our modern way of life, chronic diseases and other health conditions have been on the rise. An increase in office-work environments and the frequent use of smartphones and computers add to the growing prevalence of sedentary activities, which is not helped by the easy availability of processed foods and the increased stress and anxiety arising from the frantic rush of everyday life. Finding out how to help people live better and happier lives will have a profound impact on our society and economy.



A large, white, serif-style number '3' is positioned on the left side of the image, set against a solid dark blue background.

reasons to invest in Next Generation

We have identified three major reasons why the Next Generation investment philosophy is beneficial to a portfolio.

1

A thematic growth promise

Thematic investing is all about structural growth. In contrast to the prevailing short-termism in financial markets, thematic investing has a long-term horizon. It is about harnessing the power of the megatrends that are shaping the world around us. A thorough and forward-looking understanding of the unfolding megatrends allows us to capture structural growth, which stretches beyond the business cycle, both in terms of dynamics and duration, and aims for superior investment returns. Next Generation is our thematic investment philosophy.

2

A proven strategy

Underpinned by an increasing investor interest, thematic investing has witnessed a big boost in recent years. With our Next Generation investment philosophy, we have been a pioneer of thematic investing and have a decade of experience to look back on. The secret behind our success and proven strategy is our knowledge about the investment themes, paired with in-depth industry and financial analysis. We follow an active and disciplined approach, which allows us to see through the hype and select the potential winners of structural change.

3

A pure offering

The Next Generation investment philosophy has a clear focus on thematic purity. It ensures that we only chose those companies whose business model can be clearly linked to our investment themes. In order to be considered, the companies need to exhibit a high exposure to structural growth. The Next Generation investment philosophy can be accessed via a broad offering, ranging from a selection of single securities to flagship funds that cover single investment themes or our whole thematic landscape.

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